

SENATE FLOOR VERSION

March 5, 2026

COMMITTEE SUBSTITUTE
FOR

SENATE BILL NO. 1940

By: Thompson of the Senate

and

Hilbert of the House

[credit card transactions - interchange fees -
calculations - deduction or rebate - provisions -
rules - codification - effective date]

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. NEW LAW A new section of law to be codified
in the Oklahoma Statutes as Section 2-711 of Title 14A, unless there
is created a duplication in numbering, reads as follows:

A. As used in this section:

1. "Assessment fee" means a fee paid to the payment card
network for allowing a merchant to use a payment card or other
payment code or device in an electronic payment transaction;

2. "Electronic payment transaction" means a transaction in
which a person uses a payment card or other payment code or device
issued or approved through a payment card network to debit a deposit
account or use a line of credit, whether authorization is based on a
signature, personal identification number, or other means;

1 3. "Exempted payment card issuer" means a payment card issuer
2 that has not held consolidated worldwide banking and nonbanking
3 assets including assets under management of more than Fifty Billion
4 Dollars (\$50,000,000,000.00) in the preceding calendar year;

5 4. "Gratuity" means a voluntary monetary contribution to an
6 employee from a guest, patron, or customer in connection with
7 services rendered;

8 5. "Interchange fee" means a fee established, charged, put
9 forward, or received by a payment card network for the purpose of
10 compensating the payment card issuer for such issuer's involvement
11 in an electronic payment transaction;

12 6. "Merchant" means a person or entity that accepts electronic
13 payment transactions and collects and remits a state or local tax;

14 7. "Payment card" means a credit card, debit card, check card,
15 or other card, code, or device that is issued to an authorized user
16 to purchase or obtain goods, services, money, or any other thing of
17 value;

18 8. "Payment card issuer" means a person issuing a payment card
19 or the person's agent;

20 9. "Payment card network" means an entity that directly, or
21 through a licensed member, processor, or agent, provides the
22 proprietary services, infrastructure, and software that route
23 information and data to conduct payment card transaction
24 authorization, clearance, and settlement, and that an entity uses in

1 order to accept as a form of payment a brand of payment card that
2 may be used to carry out debit or credit transactions;

3 10. "State or local tax" includes a tax imposed by this state
4 or a unit of local government of this state; or

5 11. "Swipe fee" means the interchange fee and, if applicable,
6 the assessment fee.

7 B. A payment card network shall not establish, charge, put
8 forward, or receive an interchange fee, whether directly or through
9 an agent, licensed member, processor, contract, requirement,
10 condition, penalty, technological specification, inducement, or
11 otherwise, if:

12 1. The interchange fee is or includes a percentage multiplied
13 by the gross dollar amount of a transaction conducted with a payment
14 card; and

15 2. The interchange fee does not exclude from the gross dollar
16 amount of the transaction any amount attributable to a state or
17 local tax or gratuity.

18 C. A payment card network shall with respect to each form or
19 type of electronic payment transaction:

20 1. Deduct the amount of state or local tax imposed and gratuity
21 from the calculation of interchange fees attributable to the
22 transaction at the time of settlement; or
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1 2. Rebate the merchant an amount equal to the amount of
2 interchange fees attributable to the state or local tax imposed and
3 gratuity on the transaction.

4 D. A deduction or rebate under this section shall occur at the
5 time of settlement when the merchant is able to capture and transmit
6 state or local tax amounts and gratuity relevant to the sale at the
7 time of sale as part of the transaction finalization. If a merchant
8 does not capture and transmit state or local tax or gratuity amounts
9 relevant to the sale at the time of sale, then the merchant may
10 submit to the payment card network documentation of state or local
11 tax amounts and gratuity amounts collected on sales within one
12 hundred eighty (180) days after the transaction finalization, and
13 the payment card network shall accept such documentation and provide
14 the rebate within thirty (30) days after the merchant submits the
15 documentation.

16 E. Subsections B, C, and D of this section shall not be
17 construed to apply to an interchange fee that a payment card network
18 establishes, charges, puts forward, or receives solely for use by
19 exempted payment card issuers.

20 F. Nothing in this section shall be construed to create
21 liability for a payment card network regarding the accuracy of the
22 tax or gratuity data reported by the merchant.

23 G. It shall constitute a violation of this section for a
24 payment card issuer or a payment card network to alter or manipulate

1 the computation and imposition of swipe fees by increasing the rate
2 or amount of the fees applicable to or imposed upon the portion of
3 an electronic payment transaction not attributable to state or local
4 taxes or gratuities to circumvent this section.

5 H. The Attorney General may promulgate any rules necessary for
6 the implementation of this section.

7 SECTION 2. This act shall become effective November 1, 2026.

8 COMMITTEE REPORT BY: COMMITTEE ON BUSINESS AND INSURANCE
9 March 5, 2026 - DO PASS AS AMENDED BY CS
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